

From Private Credit ‘Cockroaches’ to AI Deals — What We’re Watching in the US Economy

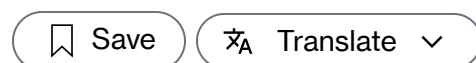
Today on the Big Take: Opinion columnist and markets editor John Authers unpacks the worrying — and reassuring — signals he sees in the economy.



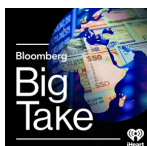
Traders work on the floor of the NYSE in New York on Nov. 13. *Photographer: Michael Nagle/Bloomberg*

By [David Gura](#) and [David Fox](#)

November 13, 2025 at 5:11 PM EST



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Big Take
What John Authers Is Watching in the Economy

In recent weeks, a number of economic warning signs have put investors on edge, from growing skepticism over the possibility of an AI bubble to bankruptcies that have rocked the private credit market.

On today's Big Take podcast, Bloomberg Opinion columnist and senior markets editor John Authers and host David Gura tackle the question: How worried should we be about the US economy?

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Here is a lightly edited transcript of the conversation:

David Gura: I've noticed something recently: More professional investors sound worried about how much money is being spent on artificial intelligence, with the promise that it will pay off, eventually.

Tom Mackenzie: *After the tech giants disclosed huge AI spending plans...*

CBS News Anchor: *...Meta committing to spend \$70 billion on AI this year. Microsoft reporting a nearly \$35 billion AI spending...*

Jacob Ward: *... \$35 billion in a single quarter and it's not at all clear how that money is going to come back.*

Gura: There's also a chorus of concern about how concentrated the stock market is – how this record-setting run has been thanks in large part to just a handful of companies. Companies that have these sky-high valuations.

Amy Morris: *Alphabet shares advanced 4.5% in regular trading. With that company achieving a \$3 trillion market cap...*

Caroline Hyde: *Nvidia, the main one \$5 trillion. \$5 trillion is extraordinary.*

Romaine Bostick: *Apple briefly traded above a \$4 trillion market cap. Only the third company in history to ever do that.*

Gura: There's also been a string of mega deals lately. And a few bankruptcies that have alarmed investors. And all this is happening against the backdrop of an economy in which there are some signs of strain. The Federal Reserve is shifting its focus to the jobs market. But inflation is still above the Fed's 2% target. One of the great things about working at Bloomberg is, at a moment like this, there are plenty of people to talk to, to call up, to e-mail, including John Authers. He's a columnist for Bloomberg Opinion, who focuses on global markets, and John is someone who has lived through – and written about – a fair share of bubbles and booms and busts.

Gura: So, let's pull back the curtain a bit and I sent you this email yesterday and I said I had the conceit for an episode, which was, "Gee, it seems like things may be bad, and maybe they are, and maybe they're getting worse. How worried should we be?" And I'd like to start with just what your reaction was to that.

John Authers: Oh, I mean, you're on the pulse. Don't worry. This is– there is always reason to worry about whether you're worried enough.

Gura: I asked John if he'd join me in the studio to tell me what Wall Street is worried about and what that means for everyone else.

Authers: It's a big, big, reasonable question. And in my case, yes, I worry about things for a living. And I find there are plenty of things to worry about.

Gura: I'm David Gura, and this is the Big Take from Bloomberg News. Today on the show: I sit down with Bloomberg Opinion columnist and resident reader of market tea leaves, John Authers, to discuss the trends he's watching in markets and the economy, and where he thinks it's all headed.

Gura: The first thing Bloomberg Opinion's John Authers wanted to talk about was valuations – how expensive U-S stocks are. The market has been on a tear.

Authers: In the markets, the biggest reason for concern is valuations writ large. Ultimately, the reason any stock can be more expensive than it normally would be is because it's going to do much better in the future, which is always unknowable. At the moment, US stocks are very, very expensive. You can then get into arguments about whether they're quite as expensive as they were in the top of 2000s. But if you're even having that discussion, you're conceding that we have a serious problem with our valuation. Now, that doesn't mean that you can't use valuation as a timing tool at all. But for long-term investing, the single most important factor in how well you do is the price at which you bought. If you buy, when things are too expensive, you will not do as well. And if you manage to buy when they're too cheap, you will do excellently. And plainly, at the moment, you have, at least to think about, is AI really going to do so fantastically that it's worth paying far more for the book value of these assets, far more for the projected future earnings – not the current earnings – far more for the projected future earnings of these stocks than people have ever asked in the past. So, that's plainly front and center the biggest issue.

Gura: Like a lot of us, John says, he's been struck by how many headlines there have been recently about AI – about deals valued at tens and hundreds of billions of dollars. On Wednesday, Anthropic announced plans to spend \$50 billion to build custom AI data centers across the US.

Authers: The companies that are actually doing the build out of the infrastructure are still making more rather than less profits. So, it plainly has longer to run. I'm not expecting this whole house of cards to collapse anytime soon. The sheer scale of the investment, just the sheer amount of money that's needed for copper and rare earths, we are discovering, is intense. The amount of money that will be spent on electricity, is intense. We still need to be clear about exactly how much AI is really gonna help us, how it's going to improve our lives. Is AI really so wonderful that it justifies the immense spending on electricity that appears to be necessary? That is the question. In the medium term to the long term, I'm very dubious as to whether this is really going to work. The great transformative technologies do all have a bubble connected to them and the bubbles do burst. That's true of canals, railroads, cars, the internet—all of which contributed to the

sum of human happiness and all of which created an investment boom, followed by serious economic problems because of the economy, the society couldn't handle it at first. I think it's reasonable to expect that something like that will happen with AI.

Gura: But at this moment, it doesn't seem frothy to you or bubblicious. You're not prepared to say so yet?

Authors: Frothy. I'm very happy to use the word frothy. In terms of calling that it's the top of a bubble, no. I was around in '99 and 2000 doing something quite similar to the job I'm doing now. There's no one moment people can connect to explain exactly why the bubble burst when it did in the spring of 2000. It just gets to a point when it's just gone too far and people aren't prepared to pay the price anymore and then confidence, you know, falls out from under it. I don't see any particular reason to assume that's about to happen. And there are differences in the way this bubble works compared to the other one. What Nvidia has done in the last two or three years was beyond compare to anything that happened in 2000.

Gura: John, as I talked to investors, another area of concern I hear a lot about involves private credit. We saw the subprime auto lender, Tricolor Holdings collapse along with the car parts manufacturer's First Brands. And then we had Jamie Dimon, the CEO of JPMorgan Chase saying quite memorably now, that that there could be cockroaches in the economy there. These couldn't just be sort of singular events. There could be more. What did he mean by that comment? How did you interpret what Jamie Dimon said after the collapse of those two institutions?

Authors: Well, first of all, to be clear what Jamie was saying— he wasn't saying Tricolor is a cockroach, that these guys are these horrible, six-footed insects scuttling around your kitchen. He was saying that when you see one or two, there tend to be a lot more out there, which is a valid point about the way credit markets tend to work. And his comment then got taken as being an attack on private credit rather than a point about the credit cycle. And I think both are valid. I am very struck by a point that Scott Bessent made, the Treasury Secretary, a few months ago, which is that, he was pointing out that there was so much more growth in private credit than there was in the

banks. And he took that as meaning that the banks were being too heavily regulated and that they should be regulated as lightly as private credit. And by the same logic, it is exactly as plausible to say that that is because private credit isn't being regulated enough and should be regulated as tightly as the banks. The changes in regulations since the crisis mean that the manifestly, systemically important banks that also control the payment system— they are less vulnerable, I think it's fair to say, than they were before. But we don't know exactly how systemic the big private credit issuers are, and whether indirectly we will eventually get to such a point. I'm not predicting 2008 again. People will find ways to stop it before it gets as bad as it got in 2008. But that is the issue: that it's reasonable to think that we ought to be close to the top of the credit cycle, and yet we're not priced for that. And that creates the risks of quite a come down. That said, since Jamie Dimon said that, there haven't been any more cockroaches, people haven't slammed their feet down and squelched anymore cockroaches over the kitchen floor in the last few weeks. Plainly, if we do get a couple more, that's going to be a problem.

Gura: So, that's what John Authers has been watching in the markets. Up next, he turns his attention to the Federal Reserve – to its fight against high inflation, and its competing concerns about the labor market. We'll also talk about vibes – how everyone is feeling about the economy. That's after the break.

Gura: Bloomberg Opinion Columnist John Authers says there are a lot of contradictions right now. Above-target inflation and a record-high stock market is one. For years now, the Federal Reserve has been trying to get inflation down to a target of about 2%. And while policymakers have made progress, it's still not where they want it to be. But Wall Street is convinced the Fed is going to keep cutting interest rates.

Authers: In the last six months, inflation has gone up and interest rates have gone down. Both, not by all that much, but it's the direction of travel that counts. That's unusual. If inflation keeps doing this for much longer, it will imperil the move to cut interest rates. Basically, I would argue that the stock market is currently priced on the assumption that the Fed is going to make a

dovish mistake. In other words, it's going to cut rates when it doesn't need to. That was one of the things that contributed to the great bubble of 2000.

Gura: Even as the Fed remains concerned about inflation, it's had to shift its focus more to the labor market, where cracks are starting to emerge. But John says if you look past the headline numbers, there are some bright spots – some reasons for optimism.

Authers: The thing that is very positive about inflation is that services inflation does appear to be coming under control, which has of late been by far the biggest area. That's been more than half of all of inflation is inflation in services. That's driven more than anything else by people's wages. So, services businesses rely far more on their wage bills as a proportion of their budget than manufacturers, retailers. Therefore, it's reasonable to hope that we are not going to get inflation rise significantly from where it is.

Gura: We're also getting a clearer picture, John says, of the effects President Trump's trade policies are having on inflation.

Authers: You do see tariffs beginning to have an effect. There is a much sharper inflation of the imported goods. You do see core goods inflation is rising. It is still a very small proportion of the whole, but it's positive. And for most of the last 10, 20 years, core goods inflation has actually been negative. The things that come from China, typically, have been getting cheaper over time. This is a part of the inflation mix of what we spend, that we are used to actually getting cheaper over time and creates the space for us to spend more on services, on iPhones.

Gura: We're at this moment when there is uncertainty – we're waiting to see if the US Supreme Court will side with the White House, and agree with the president that many of the tariffs he's put in place – on national security grounds – are legal. But it's also a moment when there is less uncertainty about the level of those tariffs. A lot of negotiations have happened, John says, and those tariff levels have settled.

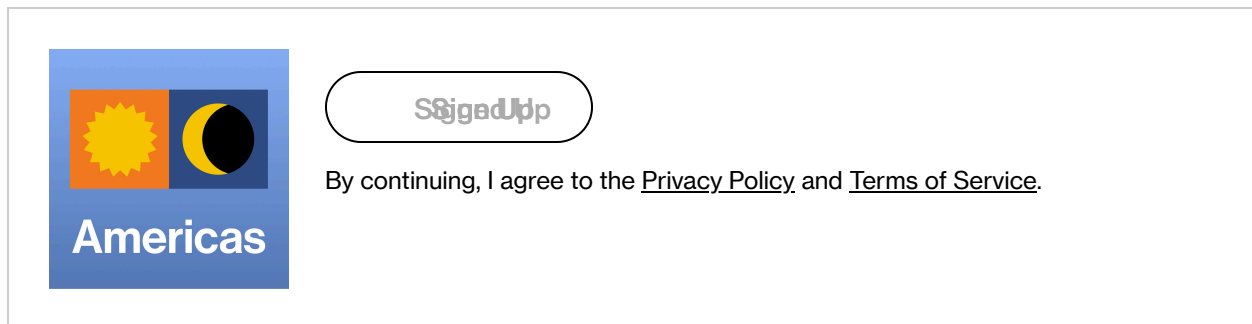
Authers: That's probably been the first time that's been true for a while. If you think these tariffs are only going to be at these levels for three months

and you're a company that wants to maintain a competitive advantage, you'll eat them. If it's plainly going to be there for a year, you just can't do that. It's certainly true – given that I have been, one of the many people who said, if you do tariffs like this, it's going to cause inflation– and it hasn't immediately caused a sharp rise in inflation. Inflation still strikes me in the medium term as a problem. And potentially a very serious one. Companies are still putting in their measures to alleviate the impact of tariffs. And so, it's probably not going to get in the way of the rosy assumptions just yet.

Gura: Late Wednesday night, President Trump signed a bill that officially ended the longest government shutdown in US history. But during that shutdown, economists and investors and policymakers didn't have access to all the economic data and reports they usually do. But we did get data from other sources, on employment, and inflation, and consumer sentiment, and I asked John how much that sentiment data can tell us about what's happening in the economy.

Authors: Much less than we used to be able to.

Gura: And why is that?



Authors: Because we're polarized. And what appears to be new is that fairly simple, straightforward questions about “how are things for you” are now being viewed through a political lens. In the closing months of Joe Biden, when the economy was actually growing quite nicely by any sensible measure, Republicans thought their lives were worse than they had been during the worst of the pandemic. After the election and the return of Donald Trump. Democrats – it's as though all the Democrats suddenly lost their job. The lines cross very dramatically. It's literally as though they're living in two different countries. Republicans are suddenly convinced that

their lives are much better, that current conditions are great, and Democrats suddenly think everything is terrible. Not only can not both be true at once, both are obviously untrue. That is a social phenomenon rather than an economic one. But it does mean you've got to be very much more careful than you ever used to be with sentiment data.

Gura: Crucially, John says, the way people think about the economy – how they feel about the economy – is important because it can have real impacts on the economy itself.

Authors: One of the concepts I found most useful for my– throughout my career since I've had it explained to me is from George Soros who has this idea of reflexivity: the idea that markets can create their own reality. So if people think rates are going down, they're more likely to go down and so on. The reflexivity once people start having really extreme views of the present and of the immediate future is very difficult to gauge. None of this really helps you say when the top of the market is in, if we wake up tomorrow to discover Meta Platforms has gone bust or something, that's probably the top of the market. That isn't going to happen. But I don't see anything at the moment that says this is the top, get out. I see plenty of reasons to think this is more overblown, more positive than it should be. And there are reasons for caution in the medium term, but maybe I'm just too old.

This episode was produced by: David Fox; Editors: Naomi Shavin, Nicholas Reynolds and Molly Smith; Fact-checker: Eleanor Harrison-Dengate; Sound Design/Engineer: Alex Sugiura; Senior Producer: Naomi Shavin; Senior Editor: Elisabeth Ponsot; Deputy Executive Producer: Julia Weaver; Executive Producer: Nicole Beemsterboer.



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